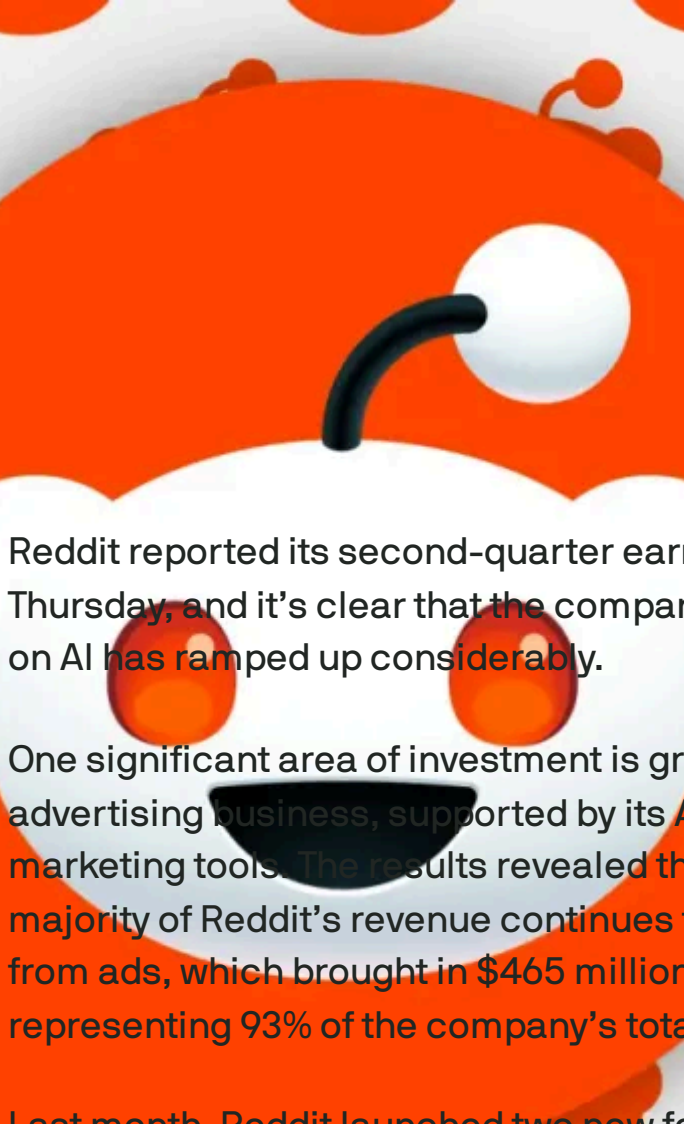

SOCIAL



**Reddit revenue soars as
it bets on AI and
advertising**



Reddit reported its second-quarter earnings on Thursday, and it's clear that the company's focus on AI has ramped up considerably.

One significant area of investment is growing its advertising business, supported by its AI-powered marketing tools. The results revealed that the majority of Reddit's revenue continues to come from ads, which brought in \$465 million, representing 93% of the company's total revenue.

Last month, Reddit launched two new features for advertisers: Reddit Insights, a tool that leverages the billions of posts and comments on the platform to spot trends and offer real-time insights for campaign strategies, and Conversation Summary Add-ons, which let advertisers include Reddit user discussions directly in ads, showing public opinions about products or brands.

The company also saw growth in its "other revenue" category, which includes its data licensing business — meaning its deals with AI providers for access to its data. Reddit said the category jumped 24% year-over-year to \$35 million, up from \$28.1 million in the same period a year prior.

Reddit has already established content licensing agreements with major players in AI, including Google and OpenAI. Although these deals are still new, the results from the second quarter point out a

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steady income stream that has significant potential for the long haul.

Another key AI-powered feature is the Reddit Answers tool, which launched in December. This tool, which offers answers in a conversational interface, has attracted 6 million weekly users, a considerable jump from [1million](#) users in the previous quarter.

In a [letter to shareholders](#), Reddit CEO Steve Huffman said the platform is working to integrate the tool “more deeply into the core search experience” to make “search a central feature across Reddit.”

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AI



OpenAI is practically giving ChatGPT to the government for free

Rebecca Bellan — 10:09 AM PDT · August 6, 2025

OpenAI is poised to undercut rivals like Anthropic and Google in the race to see its AI tools integrated into federal agency workflows.

The AI giant has [reached an agreement](#) with the U.S. General Services Administration (GSA), the government's central purchasing arm, to offer ChatGPT Enterprise to participating federal agencies for just \$1 per agency for the next year.

The partnership comes a day after the [GSA added OpenAI, Google, and Anthropic](#) to a list of approved AI vendors that can offer their services to civilian federal agencies. The companies will see their

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tools offered via the Multiple Award Schedule (MAS), a federal contracting platform that lets government agencies access AI tools via pre-negotiated contracts so they don't have to negotiate with vendors individually.

It's not clear whether other AI firms are going to offer their services at such a discounted rate, though GSA Federal Acquisition Service commissioner Josh Gruenbaum in a [statement](#) encouraged "other American AI technology companies to follow OpenAI's lead and work with

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“The government is taking a cautious, security-first approach to AI,” a GSA spokesperson told TechCrunch. “This ensures sensitive information remains protected while enabling agencies to benefit from AI-driven efficiencies.”

OpenAI's discount comes a couple of weeks after the Trump administration published its AI Action Plan that seeks to boost data center buildouts and integrate more AI tools into government, among other things. It also follows a Trump executive order that [bans “woke AI”](#) and AI models that aren't “ideologically neutral” from government contracts.

TechCrunch has reached out to OpenAI to learn more about its GSA partnership and how it will approach Trump's executive order.

Topics: [AI](#) [ChatGPT Enterprise](#) [Government & Policy](#)

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Rebecca Bellan is a senior reporter at TechCrunch where she covers the business, policy, and emerging trends...

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AI



Microsoft brings
OpenAI's smallest open
model to Windows users

Microsoft is making OpenAI's new free and open GPT model, [gpt-oss-20b](#), available to Windows 11 users via [Windows AI Foundry](#), the tech giant's platform that lets users tap AI features, APIs, and popular open source models on their computers.

The company said in a [blog post](#) that gpt-oss-20b is "tool-savvy and lightweight," adding: "Optimized for agentic tasks like code execution and tool use, it runs efficiently on a range of Windows hardware, with support for more devices coming soon. It's perfect for building autonomous assistants or embedding AI into real-world workflows, even in bandwidth-constrained environments."

Launched on Tuesday, OpenAI's gpt-oss-20b can run on consumer PCs and laptops with at least 16GB of VRAM, which a modern GPU from Nvidia or Radeon would have. OpenAI said the model was trained using [high-compute reinforcement learning](#), which helps it excel at powering AI agents and call tools, such as web search or Python code execution, as part of its chain-of-thought process.

However, the model is text-only, meaning it will not be able to process or generate images and audio like the company's other models.

Also, the model has a habit of hallucinating a lot: gpt-oss-20b hallucinated in response to 53% of questions on PersonQA, OpenAI's in-house

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AI



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benchmark for measuring the accuracy of a model's knowledge about people.

Microsoft says it will bring the model to macOS soon, as well as other devices, though the company did not name any more. Microsoft is also making both gpt-oss-20b and older model gpt-oss-120b available via its hosted Azure AI Foundry platform.

The two new models are also [available on Amazon's AWS](#).

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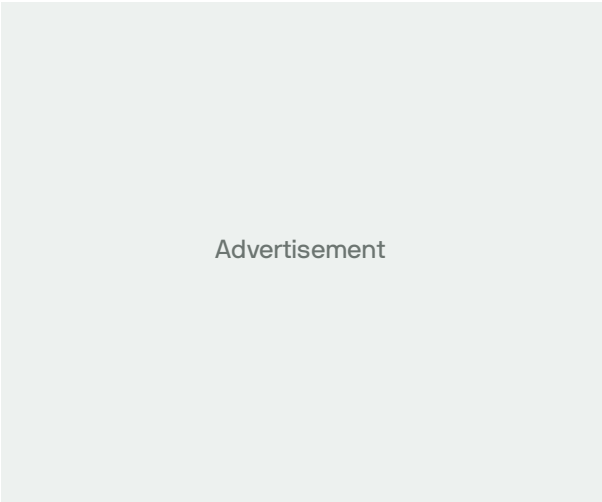
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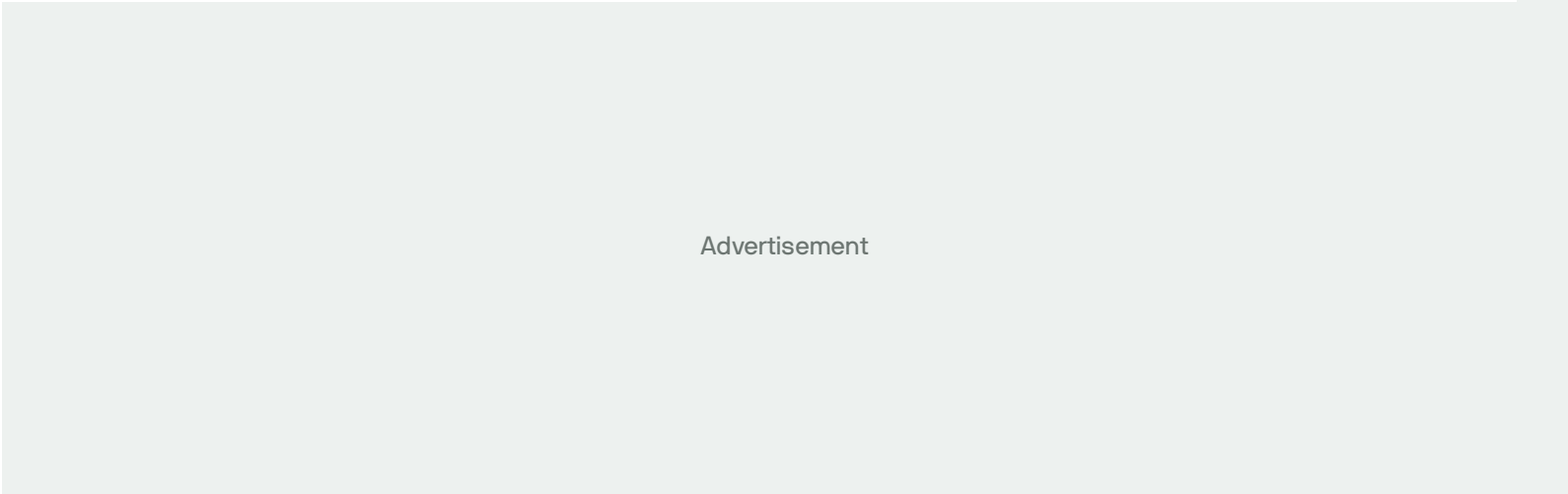


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Ram is a financial and tech reporter and editor. He covered North American and European M&A, equity, regulatory...

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